IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an Appeal made under Section 331(1) of the Code of Criminal Procedure Act No.15 of 1979 read with Article 138 of the Constitution of the Democratic Socialist Republic of Sri Lanka.

Court of Appeal No: CA/HCC/0260-261/2024
High Court of Colombo Case No: HC/37/2018

1. Mathagadeera Arachchige Saliya Kumara
2. Mathagadeera Arachchige Manjula Kumara

Accused-Appellants

Vs.

The Hon. Attorney General
Attorney General's Department
Colombo-12

Complainant-Respondent

NOW BETWEEN

Mathagadeera Arachchige Saliya Kumara

1st Accused-Appellant

The Hon. Attorney General
Attorney General's Department
Colombo-12

Complainant-Respondent

BEFORE : **P. Kumararatnam, J.**
R. P. Hettiarachchi, J.

COUNSEL : **Ershan Ariaratnam for the 1st Appellant.**
Neranjan Jayasinghe for the 2nd Appellant.
Sudharshana De Silva, PC, ASG for the Respondent.

ARGUED ON : **01/12/2025**

DECIDED ON : **09/02/2026**

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JUDGMENT

P. Kumararatnam, J.

The above-named Accused-Appellants (hereinafter referred to as the Appellants) were indicted by the Attorney General in the High Court of Colombo as follows:

1. Against the 1st Appellant for executing a transaction that is buying a van No. WP PE 9148 from proceeds of crime of Heroin Trafficking punishable under Section 3(1) of the Prevention of Money Laundering Act No. 05 of 2006 as amended by Act No. 40 of 2011.
2. Against both the Appellants for executing a transaction that is buying a van No. WP PE 4556 from proceeds of crime of Heroin Trafficking punishable under Section 3(1) of the Prevention of Money Laundering Act No. 05 of 2006 as amended by Act No. 40 of 2011.

Following the conclusion of the trial, the 1st Appellant was found guilty for the 1st count and was sentenced to 7 years rigorous imprisonment.

For the second count only, the 2nd Appellant was found guilty to the second charge and was sentenced to 7 years rigorous imprisonment. The 1st Appellant was acquitted from the second count.

Being aggrieved by the aforesaid conviction and sentence, the Appellants preferred this appeal to this court.

The learned Counsel for the Appellants informed this court that the Appellants have given consent to argue this matter in their absence. At the hearing, the Appellants were connected via the Zoom platform from prison.

Before commencement of the argument, the learned Counsel for the 2nd Appellant brought to the notice of this Court that his client, the 2nd Appellant is willing to withdraw his appeal subject to back dating the sentence. Upon withdrawal, the appeal of the Appellant is dismissed.

Hence, this appeal is only considered against the 1st Appellant. (Hereinafter, referred to as the Appellant).

<u>The following Grounds of Appeal were raised on behalf of the Appellant:</u>

1. The learned High Court Judge has failed to consider the elements of the charge being proved.

2. The learned High Court Judge has cast un warranted burden of proof on the Appellant to disprove the prosecution case.

Background of the case albeit briefly is as follows:

The Appellant was indicted under Section 3(1) of the Money Laundering Act for purchasing a vehicle valued at Rs.4.5 million, which he was unable to explain as to how he came to be in possession of.

According to PW1, Manager-Recovery of the Singer Finance Company, confirmed that the Appellant had obtained a leasing facility for Rs.2,000,000/- for the vehicle No. WP PE 9148 on 25.08.2014. He had submitted an application which was marked as P1 during the trial. The vehicle was valued at Rs.5,000,000/- and the Appellant had paid Rs.3,000,000/- to the owner. On 28.11.2014 the Appellant had paid Rs.15,038,200/- and entered into another lease for the balance Rs.518,000/-.

Under cross examination, PW1 admitted that his company had checked the re-payment capacity of the Appellant and the purpose of buying the vehicle.

PW3 was the driver of the Appellant worked for 1.5 months. The vehicle WP PE 9148 was given on rent to a firm called Kangaroo Cabs.

PW4, the mother of the Appellant had stated that when she went abroad, the Appellant was only 15 years old. She had worked for 8 years and the Appellant had been working in a poultry farm. Later the Appellant had engaged in business related to coconut trade using a lorry bought by PW2. Later then, she sold the vehicle for Rs.1,300,000/- and given the money to the Appellant. After he got married, she had bought a van for him. She was not aware about the income and other properties obtained by the Appellant. But she admitted that she knew of an existing drug case in Colombo and several cases in Gampaha against the Appellant.

PW7, the Grama Sevaka of the area could remember the Appellant selling coconut using a small lorry. The Grama Sevaka too admitted that she knew about the existing cases against the Appellant and she had given evidence in one of the cases.

PW5, the investigating officer, had given evidence and submitted a document marked as P8 which contained the previous records of the Appellant. The investigation pertaining to the Appellant only revealed his coconut business. The witnesses had mentioned that the Appellant had two properties, one in Gampaha and the other in Kandy. During the investigation, he had failed to provide details about the income. The vehicle in issue was taken into police custody.

The Appellant in his dock statement stated that he had worked for 5 years in a poultry farm. In 2004, his mother had bought a lorry for him to carry out his business. He had done his coconut business for 4 years using the said lorry. He admitted that he had bought a van using a leasing facility and by paying Rs.3,000,000/- of his money, and by paying Rs. 1500000**/-** three months later, using money received from his wife. He admitted that he was arrested by the Police Narcotics Bureau for possession of Heroin in the year 2012.

In criminal cases, the prosecution bears the burden of proving the case against the accused person beyond a reasonable doubt. Notably, this burden shifts only in specific circumstances. Therefore, the accused does not usually bear the burden to prove his case unless he pleads a general or specific exception under the Penal Code.

In the case of **Mohamed Nimnaz V. Attorney General** CA/95/94 it was held that:

> *"A criminal case has to be proved beyond reasonable doubt. Although we take serious view in regard to offences in relation to drugs, we are*

of the view that the prosecutor should not be given a second chance to fill the gaps of badly handled prosecutions.…"

In **the Attorney-General v. Rawther** 25 NLR 385, Ennis, J. states: [1987] 1 SLR 155

"The evidence must establish the guilt of the accused, not his innocence. His innocence is presumed in law, from the start of the case, and his guilt must be established beyond a reasonable doubt".

In **Miller v. Minister of Pensions** (1947) 2 All E.R. 372 the court held that:

"the evidence must reach the same degree of cogency as is required in a criminal case before an accused person is found guilty. That degree is well settled. It need not reach certainty, but it must carry high degree of probability. Proof beyond reasonable doubt does not mean proof beyond the shadow of a doubt. The law would fail to protect the community if it admitted fanciful possibilities to deflect the course of justice. If the evidence is so strong against a man as to leave only a remote possibility in his favour which can be dismissed with the sentence, "of course it is possible, but not in the least probable," the case is proved beyond reasonable doubt, but nothing short of that will suffice".

In the case of **Sivathasan vs. Attorney General** (2021) 02 SLR 290 it was held:

"*A reasonable doubt is a real or actual and a substantial doubt, as opposed to an imaginary or flimsy doubt that may arise in the mind of the decider of facts (judge or the jury, as the case may be), following an objective consideration of all the attendant facts and circumstances.*

The principle that the prosecution must prove its case beyond reasonable doubt and the accused is entitled to an acquittal if there exists a reasonable doubt, has been engraved in the criminal justice system of this country and in the rest of the common law world. That is to ensure that only those actually guilty of having committed crimes are convicted and the innocent are acquitted. Thus, the application of this principle should cause the advancement of the primary objective of criminal justice (that being 'the conviction of the guilty through a lawful and fair trial and if found guilty the imposition of an appropriate punishment, and the acquittal of the innocent) and not frustrate it."

In a case of Money Laundering, the prosecution has to establish the known income and the alleged expenditure of the Accused during the material period. When the prosecution establishes the income and the expenditure of an Accused during the said period, he or she must establish that he or she had means for such expenditure to a standard of balance of probabilities. In this regard, Section 4 of the Prevention of Money Laundering Act No. 5 of 2006 come into operation.

<u>Section 4 of the Act states:</u>

> For the purpose of any proceedings under this Act, it shall be deemed until the contrary is proved, that any movable or immovable property acquired by a person has been derived or realized directly or indirectly from any unlawful activity, or are the proceeds of any unlawful activity, if such property-
>
> a) Being money, cannot be or could not have been-
>
> i. part of the known income or receipts of such person; or
>
> ii. money to which his known income or receipts has or had been converted; or

b) being property other than money, cannot be or could not have been;

   i. property acquired with any part of his known income or receipts; and

   ii. property which is or was part of his known income or receipts; and

   iii. property to which is any part of his known income or receipts has or had been converted.

Under the first ground of appeal, the Appellant contends that the learned High Court Judge failed to consider the elements of the charge being proved.

The learned Counsel for the Appellant contends that the leasing facility was granted to the Appellant after duly assessing the re-payment ability of the Appellant. Further, the Appellant had been financially supported by his mother and his wife during the said period.

At the time of the argument, a document which was marked as P8 was not included in the brief. This document contained the details of cases, both previous and pending, reported against the Appellant. A copy of the same was provided to this Court by the Learned Additional Solicitor General. The learned Counsel for the Appellant contends that great prejudice has been caused to the Appellant by leading unrelated convictions without direct proof of involvement in large scale drug operations, which risks diverting the Court's focus from the specific charges at hand.

<u>Section 54 of the Evidence Ordinance states:</u>

> In criminal proceedings the fact that the accused person has a bad character is irrelevant, unless evidence has been given that he has a good character, in which case it becomes relevant.

Explanation 1.- This section does not apply to cases in which the bad character of any person is itself a fact in issue.

Explanation 2.- A previous conviction is relevant as evidence of bad character in such case.

In **D. W. Wanigasekara v The Republic of Sri Lanka** [177-78] 1 SLR 241 the Court held:

"(1) That the 'basic fact' to be proved was that the accused acquired property which could not have been acquired with any part of his sources of income or receipts known to the prosecution after investigation and that the prosecution is not required to prove that the acquisitions were made with income or receipts from bribery. An interpretation based on the appellant's contention would defeat the very purpose for which the section was included in the Bribery Act since section 23A is designed against a person in respect of whom there is no proof of the actual receipt of a gratification, but there is presumptive evidence of bribery."

In the case of **Director-General, Commission to Investigate Allegations of Bribery v. S. B. Dissanayake** (2005) 2 SLR 393, it was held:

"*The burden is on the prosecution to prove the 'basic fact' that the known income of the Accused Respondent was less than that of his known expenditure during the alleged period, that the accused respondent acquired property which cannot or could not have been acquired with any part of his income during the said period.*"

As the evidence led in the trial falls clearly within the legal frame work, the contention raised by the Appellant is not tenable in this case. For these reasons, the first ground of appeal cannot be sustained.

Considering the second ground of appeal, the learned Counsel for the Appellant argues, that the learned High Court Judge misdirected himself by failing to consider the plausibility of the Appellant's explanation to rebut the

presumption, within the perspective of the socio-economic standing of the Appellant.

In this case, when the defence was called, the Appellant opted to make a statement from the dock. Most of the facts submitted in the Appellant's written submission were not led in evidence at the trial. The prosecution, by marking necessary documents had led plausible evidence against the Appellant, which had not been challenged by the defence. Hence, this ground too lacks merit.

In this case, the prosecution had called all necessary witnesses to prove the charge. In a case of this nature, when the prosecution establishes that the impugned investment could not have been made from the known income of the Appellant, the burden shifts to the Appellant to prove the contrary.

In **Liyanage Nishantha Perera v The Attorney General** CA/HCC/222/2011 decided on 25.08.2020 Justice Wengappuli held that:

> *"This Court already noted the evidence presented by the prosecution in relation to the circumstances under which the officers have taken charge of the large amount of bank notes from the possession of the Appellant. The trial Court, although acquitted the Appellant by its judgment, had nonetheless disbelieved the explanation offered by him as to the presence of the large amount of bank notes. The contention that the High Court, in its judgment had observed that the said amount of money was not earned by the Appellant by "reasonable business activity" which is not the applicable criterion as envisage by Section 425, cannot be accepted since the High Court, in its impugned order and in rejecting his application clearly concluded that the Appellant had earned the said amount of money through criminal activity. Clearly the High Court had applied the correct legal criterion in making the impugned order."*

As discussed under the grounds of appeal advanced by the Appellant, the prosecution had adduced strong and incriminating evidence against the

Appellant. The learned High Court Judge had accurately analyzed all the evidence presented by both parties to arrive at the correct finding that the Appellant was guilty of the charge levelled against him. Therefore, I dismiss the Appeal and affirm the conviction and sentence imposed on the Appellant on 21.03.2024 by the learned High Court Judge of Colombo. Considering all the circumstances, the sentence is operative from the date of conviction.

The appeal is dismissed.

The Registrar of this Court is directed to send this judgment to the High Court of Colombo along with the original case record.

JUDGE OF THE COURT OF APPEAL

R. P. Hettiarachchi, J.

I agree.

JUDGE OF THE COURT OF APPEAL